

Manufactured Home Note and Security Agreement

Borrower

“I” means each Borrower above, jointly and severally.

Lender

Phone: _____

“You” means the Lender, its successors and assigns.

Summary

Loan Number _____

Date _____

A phrase, clause, or paragraph on this form that is preceded by a ☐ that is not checked does not apply to this loan.

Truth-In-Lending Disclosure

ANNUAL PERCENTAGE RATE The cost of my credit as a yearly rate. _____ %	FINANCE CHARGE The dollar amount the credit will cost me. \$ _____	Amount Financed The amount of credit provided to me or on my behalf. \$ _____	Total of Payments The amount I will have paid when I have made all scheduled payments. \$ _____
---	---	--	--

INTEREST RATE AND PAYMENT SUMMARY

	Rate & _____ Payment
Interest Rate	_____ %
Principal + Interest Payment	\$ _____
Estimated Taxes + Insurance (Escrow)	\$ _____
☐ Includes Private Mortgage Insurance	
☐ Includes Mortgage Insurance	
Total Estimated _____ Payment	\$ _____

☐ Final Balloon Payment due _____ : \$ _____.

No Guarantee to Refinance. There is no guarantee that I will be able to refinance to lower my rate and payments.

Security. I am giving a security interest in:

☐ the Goods or Property being purchased. _____

☐ Collateral securing other loans with you may also secure this loan.

☐ (description of other property) _____

☐ Late Charge. _____

Prepayment. If I pay off this note early, I will not have to pay a penalty.

☐ Assumption. Someone buying the property securing this loan ☐ may ☐ cannot assume this loan on its original terms.

Contract Provisions. I can see my contract documents for any additional information about nonpayment, default, and any required repayment before the scheduled date, and prepayment refunds and penalties.

“e” means estimate

Promissory Note

Note. For value received, I promise to pay to you, or your order, at your address above, the principal sum of: _____ Dollars

\$ _____ plus interest from _____ at the rate of _____ % per year until _____.

Interest Computation. (See the *Interest Computation Method* section for explanation) ☐ Scheduled installment earnings method.

☐ True daily earnings method.

☐ Post Maturity Interest. After maturity the unpaid balance of principal will earn interest at the rate of _____ % per year.

Payments. I agree to make principal and interest payments according to the following schedule (all payments must be in the same amount, except for any final balloon payment):

Number of Payments	Amount of Payments	When Payments are Due
_____	\$ _____	_____
_____	\$ _____	_____

Late Charge. If there is a late charge for this transaction, it will be disclosed in the *Truth-In-Lending Disclosure* section.

The Purpose of this Loan is _____.

This Loan Made Under _____.

☐ **Security Agreement.** I give you a security interest in the Property described below. The rights I am giving you in this Property and the obligations this agreement secures are defined in this agreement.

Insurance Disclosures

Credit Insurance. Credit life, credit accident and sickness (disability), unemployment and any other insurance coverage quoted below, are not required to obtain credit and you will not provide them unless I sign and agree to pay the additional premium. If I want such insurance, you will obtain it for me (if I qualify for coverage). You are quoting below ONLY the coverages I have chosen to purchase.

Credit Life
☐ Single ☐ Joint ☐ None
Premium \$ _____
Term _____
Insured _____

Credit Disability
☐ Single ☐ Joint ☐ None
Premium \$ _____
Term _____
Insured _____

Credit Unemployment
☐ Single ☐ Joint ☐ None
Premium \$ _____
Term _____
Insured _____

My signature below means I want (only) the insurance coverage(s) quoted in the *Credit Insurance* section. If "None" is checked, I have declined the coverage you offered.

DOB

DOB

DOB

DOB

☐ **Property Insurance.** Property insurance is required. I may obtain property insurance from anyone I want that is acceptable to you. If I get the insurance from or through you, I will pay \$ _____ for _____ of coverage.

Insurance Commissions. I understand and agree that any insurance premiums paid to insurance companies as part of this loan will involve money retained by you or paid back to you as commissions or other remuneration.

Itemization of Amount Financed

Amount paid to me directly	\$ _____
Amount paid on my account	\$ _____
Amounts paid to others on my behalf*	_____
To insurance companies	\$ _____
To public officials - filing fees only	\$ _____
To public officials - other than filing fees	\$ _____
_____	\$ _____
_____	\$ _____
_____	\$ _____
_____	\$ _____
_____	\$ _____
Amount Financed	\$ _____

*You may retain or receive a portion of these amounts.

Additional Terms of the Note

Definitions. “I”, “me” or “my” means each Borrower who signs this note and each other person or legal entity (including guarantors, endorsers, and sureties) who agrees to pay this note (together referred to as “us”). “You” or “your” means the Lender and its successors and assigns.

If any part of this note cannot be enforced, such fact will not affect the rest of this note. Any change to this note or any agreement securing this note must be in writing and signed by you and me.

Commissions. I understand and agree that you (or your affiliate) will earn commissions or fees on any insurance products, and may earn such fees on other services that I buy through you or your affiliate.

Prepayment. I MAY PREPAY THIS LOAN IN WHOLE OR IN PART AT ANY TIME WITHOUT PENALTY. If I prepay in part, I must still make each later payment in the original amount as it becomes due until this note is paid in full.

Interest Computation Method. The interest charge is initially computed by applying a daily rate to the unpaid balance of the amount financed. The daily rate is 1/365th of the equivalent contract rate. You assume all payments will be made in full when due.

During the actual repayment period, there are two alternate methods by which my payments will be applied. These methods are explained below. The one check in the *Interest Computation* section is the one that will apply to the repayment period of this Loan.

1. The **scheduled installment earnings method** is one where actual payments received before or after the due date do not cause an adjustment in the amount of the scheduled principal reduction. You treat an early or late payment as if it were made on the due date. (A payment made beyond the grace period may incur a late charge as provided.)
If I prepay this loan in full, the interest charge will be recalculated to the day of prepayment in full, and the total interest charge will be the interest calculated by this method to the installment due date immediately preceding the date of prepayment plus the actual daily rate applied to the scheduled principal balance to the day of prepayment in full.
2. The **true daily earnings method** is one where you give credit for any payment on the day the payment is actually made. If I prepay this loan in full you will not accrue interest after the prepayment date. Payments are generally applied first to accrued interest and then to principal.

Usury. The interest rate and other charges on this loan will never exceed the highest rate or charge allowed by law for this loan.

Post Maturity Interest Rate. If this section is checked, the post maturity rate will begin to apply on the day after maturity, or, if the loan is in default and we accelerate after default, on such date.

Notwithstanding anything to the contrary in this note, the judgment interest rate will be the rate of interest that applies after maturity or 18%, whichever is less.

Default. I will be in default on this loan and any agreement securing this loan if:

1. I fail to make a payment in full when due; or
2. I fail to perform any other obligation (or I do something I have agreed not to do) under this contract and your prospect of payment, performance, or ability to realize upon the property is significantly impaired.

If any of us are in default on this note or any security agreement, you may exercise your remedies against any or all of us.

Remedies. If I am in default on this loan or any agreement securing this loan, you may exercise your rights provided by law and this agreement. I also understand and agree to the following:

1. You may accelerate the due date of the unpaid principal balance of the loan, plus accrued interest and charges, making it due in its entirety before the scheduled due date.
2. You may realize on any property securing this transaction.
3. You may demand more security or new parties obligated to pay this loan (or both) in return for not using any other remedy.
4. You may make a claim for any and all insurance benefits or refunds that may be available.

Your right to accelerate, realize on any property securing this transaction, or other remedy may be subject to my right to get notice of a right to cure the default (and the right to cure). You will provide such notice when required as a condition of exercising a remedy you choose. My cure rights will then be explained as required by law.

If I default and you choose not to exercise a remedy, you do not lose the right to treat the event as a default if it happens again.

Costs Of Collection And Attorney's Fees. I agree to pay you the costs you incur to collect this debt or realize on any security. This includes your reasonable attorney's fees, court costs and disbursements.

This provision also shall apply if I file a petition or any other claim for relief under any bankruptcy rule or law of the United States, or if such petition or other claim for relief is filed against me by another.

Independent Obligation. I understand that my obligation to pay this loan is independent of the obligation of any other person who has also agreed to pay it. You may, without notice, release me or any of us, give up any right you may have against any of us, extend new credit to any of us, or renew or change this note one or more times and for any term, and I will still be obligated to pay this loan. You may, without notice, fail to perfect your security interest in, impair, or release any security and I will still be obligated to pay this loan.

Waiver. I waive (to the extent permitted by law) demand, presentment, protest, notice of dishonor and notice of protest.

Financial Statements. I will give you any financial statements or information that you feel is necessary. All financial statements and information I give you will be correct and complete.

Purchase Money Loan. If this is a Purchase Money Loan, you may include the name of the seller on the check or draft for this loan.

Name and Location. My name and address indicated on page 1 are my exact legal name and my principal residence. I will provide you with at least 30 days notice prior to changing my name or principal residence.

For Federal Usury Preemption for Manufactured Home Loans. The following terms apply if, in this document, the Federal Usury Preemption is cited as the authority for this loan. These terms will supersede anything to the contrary in this form:

1. The late charge, if there is one, will not apply to the final scheduled installment.
2. **Notice of Default.** Except as provided further below, you will not accelerate the unpaid balance of this Contract, repossess or foreclose on any Property until after you send me a notice of default and any cure period it describes has passed. You may not be required to send me a notice if (1) I have abandoned the Manufactured Home, (2) I received two notices in the prior one-year period, or (3) other extreme circumstances exist.

To contact the Lender about this account call the number appearing with the Lender's name at the top of this document. This Lender is licensed and examined by the State of Texas - Office of Consumer Credit Commissioner. Call the Consumer Credit Hotline or write for credit information or assistance with credit problems: Office of Consumer Credit Commissioner, 2601 North Lamar Boulevard, Austin, Texas 78705-4207, www.occ.state.tx.us , (800) 538-1579.

Additional Terms of the Security Agreement

Secured Obligations. This security agreement secures this loan (including all extensions, renewals, refinancings and modifications) and any other debt I have with you now or later. Property described in this security agreement will **not** secure other such debts if and to the extent the property:

1. constitutes my principal residence; or
2. is household goods.

This security agreement will last until it is discharged in writing. For the sole purpose of determining the extent of a purchase money security interest arising under this security agreement:

1. Payments on any nonpurchase money loan also secured by this agreement will not be deemed to apply to the Purchase Money Loan; and
2. Payments on the Purchase Money Loan will be deemed to apply first to the nonpurchase money portion of the loan, if any, and then to the purchase money obligations in the order in which the items were acquired.

No security interest will be terminated by application of this formula. *"Purchase Money Loan"* means any loan the proceeds of which, in whole or in part, are used to acquire any property securing the loan and all extensions, renewals, consolidations and refinancings of such loan.

Property. The word *"Property"*, as used here, includes all property that is listed in the security agreement. If a general description is used, the word Property includes all my property fitting the general description. Property also means all benefits that arise from the described Property (including all proceeds, insurance benefits, payments from others, interest, dividends, stock splits and voting rights). It also means property that now or later is attached to, is a part of, or results from the Property.

Ownership and Duties Toward Property. Unless a co-owner(s) of the Property signed a third party agreement, I represent that I own all the Property. I will defend the Property against any other claim. I agree to do whatever you require to perfect your interest and keep your priority. I will not do anything to harm your position.

I will keep the Property in my possession (except if pledged and delivered to you). I will keep it in good repair and use it only for its intended purposes. I will keep it at my address unless we agree otherwise in writing. I will not use the Property for a purpose that will violate any laws or subject the Property to forfeiture or seizure.

I will not try to sell or transfer the Property, or permit the Property to become attached to any real estate, without your written consent. I will pay all taxes and charges on the Property as they become due. I will inform you of any loss or damage to the Property. You have the right of reasonable access in order to inspect the Property.

Insurance. I agree to buy insurance on the Property against the risks and for the amounts you reasonably require. In addition:

- 1. You may require added security on this loan if you permit any insurance proceeds to be used to repair or replace the Property.
- 2. If the insurance proceeds do not cover the amounts I still owe you, I will pay the difference.
- 3. I will keep the insurance until all debts secured by this agreement are paid.

COLLATERAL PROTECTION INSURANCE NOTICE

As part of this agreement, I am giving you a security interest in the Property described in the *Security* section on page 1. I am required to maintain insurance on the Property in an amount you specify, subject to applicable law. I agree to purchase the collateral insurance from an insurer authorized to do business in Texas or an eligible surplus lines insurer to the extent permitted by law. I will name you as loss payee under the policy. I may be required to deliver to you a copy of the collateral protection insurance policy and proof of payment of premiums. If I fail to meet any of these requirements, you may obtain collateral protection insurance on my behalf. You are not required to purchase any type or amount of insurance. You may obtain replacement cost insurance if authorized under applicable law subject to policy limits. If you purchase insurance for the Property, I will be responsible for the cost of that insurance, including interest and any other charges incurred by you in connection with the placement of collateral protection insurance to the extent permitted by law. I understand that insurance you obtain may cost significantly greater than the cost of insurance I could have obtained. Amounts that I owe are due and payable upon demand or on such other terms as you require to the extent permitted by law.

Default and Remedies. If I am in default, in addition to the remedies listed in the note portion of this document, you may (subject to any applicable notice and cure period):

- 1. Pay taxes or other charges, or purchase any required insurance, if I fail to do these things (but you are not required to do so). You may add the amount you pay to this loan and accrue interest on that amount at the interest rate in effect on this note until paid in full;
- 2. Require me to gather the Property and any related records and make it available to you in a reasonable fashion;
- 3. Use any other remedy allowed by law.

I agree that when you must give notice to me of your intended sale or disposition of the Property, the notice is reasonable if it is sent to me at my last known address by first class mail 10 days before the intended sale or disposition. I agree to inform you in writing of any change in my address.

Perfection of Security Interest. I authorize you to file and perfect your lien with the Manufactured Housing Division of the Texas Department of Housing and Community Affairs covering the Property.

Notice to the Consumer. Do not sign this document before you read it or if it contains any blank spaces. You are entitled to a copy of the document you sign. Under the law you have the right to pay off in advance the full amount due and obtain a substantial refund of the credit charge. Keep this document to protect your legal rights.

Attach FTC "Preservation of Consumer Claims and Defenses" Notice if Applicable.

Signatures

I agree to the terms on all pages of this agreement. I have received a copy of this document on today's date.

COSIGNERS - SEE SEPARATE NOTICE BEFORE SIGNING.

Borrower

_____ **Date**

_____ **Date**

_____ **Date**

_____ **Date**

Lender (Optional)

_____ **Date**

Loan Origination Organization: _____

NMLS ID: _____

Loan Originator: _____

NMLS ID: _____